One day Yazhini and Josphine were sitting in a park near their house and eating sugarcane. At that time Yazhini's uncle Raja came there and started talking with them.

Uncle : "Dear children, do you know what are the products produced from the sugarcane?.

Both of them thought for a while and said, 'uncle , they make sugar'.

Uncle : You are right. Do you know how they produce sugar for our consumption?.

Yazhini : No uncle. But if you tell us we will know about it uncle.

Uncle : Ok. I shall tell you and you in turn must tell your friends about it.

Yazhini & Josphine : Ok ,uncle.

(He began saying.)

Sugarcane is cultivated in agricultural fields. This is the primary production. To get sugar, we take sugarcane to the sugar factories; by using the machine, we produce sugar. This is the secondary production. Like sugar industries many other industries are known as secondary sectors and generally described as manufacturing sectors.

The tertiary sector provides all those services, which enable the finished goods to reach the hands of the consumer. These industries include traders, banking, insurance, etc.

Production is the process of changing the raw materials into finished products. Here the factors of production are the inputs like, sugarcane, machinery, labours, etc. and sugar is the output. Now, let us learn about production and the various factors included in production like land, labour, capital and entrepreneur and their characteristics in detail.

Yazhini and Josphine : Ok uncle.

There are two main activities in an economy such as production and consumption. Similarly, there are two kinds in economy, producers and consumers. Well-being is made possible by efficient production and by the interaction between producers and consumers. In the interaction, consumers can be identified in two roles both of which generate well-being. Consumers can be both customers of the producers and suppliers to the producers. The customer's well-being arises from the commodities when they buy and consume. The supplier's well-being is related to the income they receive when they sell the commodities and services. In an economy, all are consumers but all are not producers or sellers.

Meaning of Production

Production is a process of combining various material inputs and immaterial inputs in order to make something for consumption (the output). It is the act of creating an output, a good or service which has value and contributes to the utility of individuals.

Production in economics refers to the creation of those goods and services which have exchange value. It means the creation of utilities. Utility means want satisfying power of a product. According to the nature of utilities they are classified into form utility, time utility and place utility.

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